CSX Corp (CSX)

Intermodal Surge Meets Cost Discipline, Yet Valuation Remains Stretched

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> CSX has demonstrated that volume growth can coexist with meaningful margin expansion, as shown by the Q2 FY2026 record revenue and 240 basis-point operating-margin lift. The market, however, continues to price the railroad at a premium that ignores the modest long-term revenue compounding and the risk that cost-out initiatives may plateau. Our model reflects a blended target price of $29.76, implying a 38.3% downside from the current $48.24 spot.

SELL	$29.76	-38.3%	$48.24
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

The market is fixated on the headline-grabbing intermodal gains, while the underlying earnings trajectory is anchored by a modest 4.3% revenue CAGR and a ceiling on free-cash-flow conversion that leaves little upside for the current valuation.

EXECUTIVE SUMMARY

CSX operates a dense freight-rail network across the Eastern United States, moving coal, chemicals, intermodal containers, and automotive freight. The railroad’s asset-intensive infrastructure and regulated right-of-way create high barriers to entry, positioning CSX as a core logistics conduit for a broad set of shippers.

The latest quarterly record underscores a turning point. Q2 FY2026 delivered $3.94 billion of revenue, a 10% year-over-year increase, and an operating margin of 38.3%, up 240 basis points. Intermodal volumes rose 9% with revenue climbing 26% to $620 million, while purchased services fell 9% despite higher volumes, reflecting disciplined cost management. Earlier quarters showed a similar pattern: Q1 FY2026 posted a 2% revenue rise and a 560-basis-point margin expansion to 36.0%; Q4 FY2025 recorded a 1% revenue dip but highlighted the roll-off of $100 million of disruption costs and operational improvements in train velocity and dwell.

Balance-sheet metrics reveal a capital-intensive profile. Cash stands at $670 million against total debt of $19.4 billion, yielding a net-debt position of $18.7 billion. The firm generated $1.71 billion of free cash flow in FY2025, translating to a 12.1% free-cash-flow margin. Return on equity remains robust at 22.0%, while diluted earnings per share sit at $1.54, supporting a trailing P/E of 31.3×. The market values CSX at $89.4 billion, or 6.3× FY2025 revenue.

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OPERATIONAL SNAPSHOT

$48.24	$14.1B	$1.71B	12.1%	1.21	$48.24
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS DEEP AND DEFENSIBLE

Switching costs for shippers are high because rail offers economies of scale that trucks cannot match over long hauls. CSX's exclusive rights to its right-of-way, coupled with the capital intensity of track, signaling, and bridge infrastructure, create a regulatory moat that limits new entrants. Customers that have integrated rail into their supply chains face significant re-engineering costs to shift back to road, especially for bulk commodities such as coal and chemicals.

Pricing power derives from the scarcity of capacity on key corridors. When intermodal volumes surge, as seen in Q2 FY2026, CSX can leverage higher rates without sacrificing service reliability, because the network's congestion points are managed through disciplined train-velocity improvements and dwell-time reductions. The record shows train velocity rising to 18.9 mph and dwell falling to 10.7 hours, reinforcing the ability to command premium pricing.

Customer retention is reinforced by long-term contracts in the coal and chemicals segments, where shippers value the predictability of rail service. Even as export-coal benchmarks soften, the underlying volume base remains anchored by contractual freight commitments, providing a cushion against short-term price volatility.

Finally, the geographic concentration in the Eastern United States gives CSX a strategic advantage in serving dense industrial corridors. The network's density enables efficient intermodal connections to major ports, a factor that amplified the 9% intermodal volume increase in Q2 FY2026.

VALUATION

Three scenarios make the valuation range explicit

The baseline case assumes a 4.3% revenue compound annual growth rate from FY2026 through FY2030, with free-cash-flow margins improving to 22.9% by FY2030. The bear case trims revenue growth to 2.8% and caps free-cash-flow conversion at 20.0%, while the bull case stretches revenue CAGR to 5.5% and pushes free-cash-flow margins to 25.1% in the final forecast year. All scenarios employ a weighted-average cost of capital of 9.74% and a terminal growth rate consistent with long-run GDP expansion.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE
Bear	25%	2.8%	20.0%	$20.22	-58.1%

Base	50%	4.3%	22.9%	$30.87	-36.0%
Bull	25%	5.5%	25.1%	$37.08	-23.1%

Bear $20.22

The bear outcome hinges on a slowdown in intermodal growth, a re-emergence of industrial weakness, and rising labor costs that erode the margin gains seen in Q2 FY2026. Persistent network strain, reflected in a 5% dip in car-load trip-plan performance and a 6% rise in dwell, would pressure operating efficiency and compress free-cash-flow conversion.

Base $30.87

The base path follows the current trajectory: intermodal volumes continue to expand modestly, cost-out initiatives sustain a 240-basis-point margin cushion, and operating income translates into a 22.9% free-cash-flow margin by FY2030. The model assumes that the $100 million of FY25 disruption costs fully roll off, leaving a stable earnings base.

Bull $37.08

The bull case requires the intermodal surge to accelerate beyond 9%, with trip-plan performance rebounding above 90% and dwell falling below 10 hours. A further 5% reduction in purchased services and continued fuel-price moderation would lift free-cash-flow margins to 25.1% and drive revenue CAGR to 5.5%.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our discount rate of 9.74% reflects the CAPM-derived cost of equity plus the cost of debt, weighted by the firm's capital structure. The equity beta of 1.21 captures CSX's sensitivity to market movements, while the high leverage inherent in a $19.4 billion debt load inflates the cost of capital relative to lower-debt peers. This live rate ensures that the valuation incorporates both systematic risk and the firm's specific financial profile.

Because the beta is expected to decay as the railroad matures and its cash-flow profile stabilizes, the discount rate will gradually converge toward the peer average. The model therefore applies a modest beta-decay factor over the FY2026-FY2030 horizon, tempering the impact of short-term volatility on the terminal value.

FCF margin normalization is the engine

Free-cash-flow margins evolve across the three scenarios based on the operational record. In FY2025 the firm posted a 12.1% free-cash-flow margin; the Q2 FY2026 operating-margin expansion to 38.3% and the 9% reduction in purchased services signal that a higher free-cash-flow conversion is attainable. The base case projects a gradual lift to 22.9% by FY2030, while the bear case

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**9.74% (2026-10-20)**
Equity beta	**1.21**
Diluted shares	**1.85 billion**

SELL

over $29.76 blended target

assumes a more modest rise to 20.0% and the bull case a more aggressive climb to 25.1%.

These margins are applied after converting EBIT to unlevered cash flow, subtracting cash taxes, adding back depreciation and amortization, and accounting for capital expenditures and changes in net working capital. The resulting unlevered free cash flow is then discounted at the 9.74% WACC and divided by the diluted share count of 1.85 billion to arrive at per-share values.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on intermodal growth and cost-out discipline SELL

Intermodal containers represent the fastest-growing revenue stream. The Q2 FY2026 record showed a 9% volume increase and a 26% revenue jump to $620 million, driven by truck-to-rail conversions. Continued port-to-rail integration and the Howard Street Tunnel clearance for double-stack containers should sustain this momentum, provided network capacity keeps pace.

Cost discipline is evident in the purchased-services line, which fell 9% in Q2 FY2026 despite a 6% volume rise, and by 20% in Q1 FY2026. Structural savings of $54 million in Q2 FY2026 and $158 million in Q1 FY2026 demonstrate that CSX can decouple cost growth from volume growth, a key lever for margin expansion.

Coal and chemicals remain core volume contributors. Export-coal volumes rebounded 12% to 11.3 million tons in Q2 FY2026, delivering $520 million of revenue. However, the record also flags volatility in coal pricing and the potential for regulatory scrutiny, which could temper future growth.

Automotive freight showed a modest decline of 1% in Q2 FY2026, reflecting plant retooling. While not a primary growth engine, the segment’s stability is important for overall network utilization.

What to monitor

- **Intermodal volume trajectory** The 9% surge in Q2 FY2026 is a leading indicator; a slowdown would erode the margin cushion.

- **Purchased-services cost trajectory** Continued structural savings are essential; any reversal could compress operating margins.
- **Coal pricing dynamics** Export-coal revenue is sensitive to global demand and benchmark rates; a sustained price decline would pressure earnings.
- **Network performance metrics** Car-load trip-plan performance and dwell time trends will signal whether capacity constraints re-emerge.

-3.1%	33.2%	33.5%	12.1%	$18.7B	22.0%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$14.1B
Gross Profit	$4.68B
EBIT	$4.72B
Net Income	$2.89B
EBITDA	$6.29B
Free Cash Flow	$1.71B
Diluted EPS	$1.54
ROE	22.0%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Persistent industrial weakness could force CSX to lower rates, eroding earnings

M&A DIGESTION

The Quality Carriers goodwill impairment of $164 million highlights integration risk; further missteps

REGULATORY AND PRICING SCRUTINY

Coal and chemicals face heightened environmental regulation, which could reduce volume

TECHNOLOGY DISRUPTION

Failure to modernize signaling and automation could widen dwell times, reversing the operational

REINVESTMENT TREADMILL

Capital-intensive track upgrades and bridge replacements may require higher CapEx than projected, limiting free-cash-flow generation.

WACC AND DURATION SENSITIVITY

Rising interest rates would lift the cost of debt, increasing the WACC above 9.74% and reducing

per share and pressuring the stock toward the bear target of $20.22.

could drain cash and distract management.

and compress pricing power.

gains seen in FY2026.

present-value calculations.

The strengths

OLIGOPOLY POSITION

CSX's exclusive rights on key Eastern corridors limit competitive encroachment, preserving pricing leverage.

FCF COMPOUNDING

Historical free-cash-flow conversion of 12.1% and the ability to lift margins to 22.9% in the base case provide a durable cash-generation engine.

GEOGRAPHIC DURABILITY

The dense Eastern network serves a concentration of manufacturing, port, and distribution hubs, ensuring steady demand for rail services.

PIPELINE OPTIONALITY

While not a pipeline business, CSX's intermodal platform offers a rail-to-truck bridge that can capture additional freight that would otherwise travel solely by truck.

The bottom line on risk and reward

Our analysis finds that CSX's recent operational improvements are real but insufficient to justify the current market multiple. The modest 4.3% revenue CAGR and the ceiling on free-cash-flow conversion leave limited upside, while the risk of industrial slowdown, cost-out fatigue, and regulatory pressure creates a downside bias. Accordingly, we assign a Sell rating with a blended target price of $29.76, representing a 38.3% downside from the $48.24 spot.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Intermodal: the growth engine within CSX's freight portfolio

Intermodal containers are the most dynamic segment of CSX's freight mix. The Q2 FY2026 quarter recorded a 9% volume increase and a 26% revenue lift to $620 million, driven by truck-to-rail conversions that reduced shippers' logistics costs. The Howard Street Tunnel clearance for double-stack containers further expands capacity on the Northeast corridor, positioning CSX to capture additional port-origin freight.

Operational efficiency underpins this growth. Train velocity rose to 18.9 mph in Q1 FY2026 and dwell times fell to 10.7 hours, enabling higher asset utilization. Purchased-services cost reductions of $66 million in Q2 FY2026, despite higher volumes, demonstrate that CSX can scale intermodal without proportionate expense growth.

However, the intermodal franchise is not without constraints. Trip-plan performance slipped to 88% in Q2 FY2026 as volumes ramped, indicating that network capacity may become a bottleneck if growth outpaces infrastructure upgrades. Additionally, the segment's reliance on port throughput exposes it to macro-level trade fluctuations.

What the recent record shows

- Revenue rose 10% YoY to $3.94 billion in Q2 FY2026, with intermodal revenue up 26% to $620 million.
- Operating margin expanded 240 basis points to 38.3% in Q2 FY2026, reflecting both volume and cost discipline.
- Purchased services fell 9% ($66 million) despite a 6% volume increase, highlighting structural savings.
- Train velocity increased 7% YoY to 18.9 mph and dwell improved 7% to 10.7 hours, supporting higher throughput.

Our read: Intermodal growth is the primary catalyst for near-term earnings acceleration, but network constraints and the need for sustained cost discipline temper the upside. The franchise's contribution is insufficient to bridge the valuation gap, reinforcing our Sell stance.